

We take two factors P/E that is the exit P/E and the possible EPS growth. What is the probable price-to-earnings ratio at the time we make the exit?

Currently, if we are buying the stocks trading at 20 P/E, therefore at the time of exit it can be 20, 15 or 10. Therefore, what is the possible P/E at the time of exit ?

So we took a different scenario as shown in the table.

	0%	2%	4%	6%	8%	10%	12%	14%	16%
10	-21%	-19%	-17%	-16%	-14%	-13%	-11%	-10%	-8%
12.5	-15%	-13%	-11%	-9%	-8%	-6%	-4%	-3%	-1%
15	-9%	-7%	-6%	4%	-2%	0%	2%	4%	5%
17.5	4%	-2%	-1%	1%	3%	5%	7%	9%	11%
20	0%	2%	4%	6%	8%	10%	12%	14%	16%
22.5	4%	6%	8%	10%	12%	14%	16%	19%	21%
25	8%	10%	12%	14%	25	18%	21%	23%	25%

Current Price - Rs. 1000 Current EPS - Rs. 50 Current PE - Rs. 20 Time - 3 Years

- o Hypothetically let us take a 3 years time horizon for an exit and let's not worry about perpetuity.
- o What kind of growth can be expected in the future P/E and projected EPS in three years from now, at the time of exit? The range should ideally be 4 to 12%, which is a large range, and thus it is very likely that our return will fall within this range. Similarly, the exit P/E will be in the range of 15 to 22. All of these presumptions are based on our knowledge and research of the company.
- o We will calculate our probable return based on the current market price.

What If...

EPS = Rs. 50 (Grew at 0% in the next 3 Years)

& P/E = 10

Exit Price $250 \times 10 = \text{Rs. } 500$

So the price at which we sold our share is Rs. 500